Figure 25.3 Note: weekly scale. A number of potential diving board patterns appear on this chart, but none of them have upward breakouts, which is a close above the top of the pattern.

Unfortunately, price doesn't break out upward (a close above the peak price in the board). So ignore this pattern. It fails to perform as expected.

Points C, D, and F are additional diving board patterns. Price rests on support, touching or coming close to the horizontal support lines multiple times. Price plunges to E (which shares the plunge with diving boards C and D), and plunge G for board F.

Boards A and C are in uptrends, and F is in a downtrend. A check of the numbers shows that there is a negligible performance difference (after the breakout) based on the trend direction from the trend start to the pattern's start. In other words, boards A, C, and F should perform similarly even though they appear in uptrends (A, C) or a downtrend (F).

The diving board patterns shown fail to break out upward and that accounts for most of the pattern failures. However, if price fails to rise very high (more than 5%) after the breakout, then that's a failure, too.